

WHERE DO THESE THINGS COME FROM?

There is no secret to success. Successful people just put in more hours than other people.

Our point is similar: Success is usually the product of compound effort over time. It takes time to develop contacts. It takes time to develop trust—both of your own team and outside clients, customers, and associates. It takes time and experience to develop the hunches and instincts that are useful in real life. It takes time, too, to understand other people and learn how to work with them. It also takes time to build a foundation of human and financial capital that allows you to take advantage of the insights and opportunities that experience bring you.

Time does not work in a linear, mathematical way. As with compound interest, time pays off geometrically. As contacts, experiences, wisdom, innovations, and intuition are added one to another, your opportunities multiply. A \$100,000 deal that you might have made when you were 25 grows into a \$1 million deal five years later. And instead of doing two deals a year, you might do 10 per year.

This is also why it is so important to put in lots of time. The leading figures in their industries put in thousands of hours—usually far more than their competitors. They may appear to be “gifted.” Their achievements may seem effortless. But they are almost always the product of time.

Not only that, but the time spent at the end is much more powerful than the time at the beginning. You can see this by looking at charts of compound interest. Starting from a low base, the first series of compound interest produce little difference. But at the end, the results are spectacular.

Start with a penny. Double it every day. At the end of a week, you are still adding only 32 cents per day. By the end of the third week, however, you’re adding more than \$10,000 per day. So you see, the last increments of time are much more important than the first.

It doesn’t exactly work that way in real life, of course. Hang around too long and you get tired, and the lessons you’ve learned might not be applicable to the new realities. Suppose, for example, that you had learned